

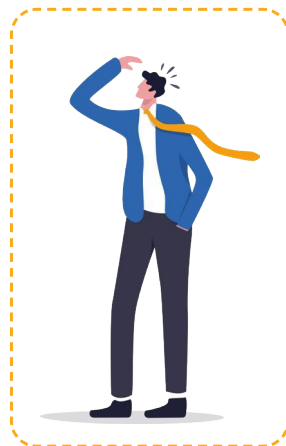
Moderate Strategic Response

Other firms receive a moderate response that is strategic and takes time.

- Such a response aims to deal with entrants strategically, making it difficult for them to gain size by putting them at a position of competitive disadvantage.
- Such industries, more often than not, do not hurt the industry's profitability.
- However, the risk remains that, if the strategic response goes wrong, firms may lose market to the entrant.



NETFLIX



No reaction

Many entrants may receive no reaction at all from established firms.

- Established firms do not see the entrants as threats and decide to not react to them.
- Such a strategy does not hurt profitability in the short run, but it has the risk of the entrant taking away the market from the established players.

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These together determine the threat of entry to existing firms. The higher the threat, the lower would be the profitability of the industry.